

Write your name here

Surname

Other names

Pearson Edexcel

Level 3 GCE

Centre Number

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Candidate Number

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Economics B

Advanced

Paper 2: Competing in the global economy

Predicted Paper — 2026

Time: 2 hours

Paper Reference

9EB0/02

You do not need any other materials.

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided – *there may be more space than you need.*

Information

- The total mark for this paper is **100**.
- The marks for **each** question are shown in brackets – *use this as a guide as to how much time to spend on each question.*
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A to C) before answering Question 1.

Write your answers in the spaces provided.

Extract A

UK current account of the balance of payments, 2023 (£ millions)

Component	Credits	Debits
Trade in goods	400,320	559,810
Trade in services	470,210	292,540
Primary income	251,680	263,450
Secondary income	29,140	56,820

(Source: adapted from © Office for National Statistics / Crown Copyright, 2024)

Extract B

JCB battles currency headwinds

JCB, the Staffordshire-based family-owned manufacturer of construction equipment, reported in 2024 that a stronger pound had squeezed profit margins on exports. Around 75% of JCB's production is exported, with key markets in North America, Europe and India.

"When sterling appreciated by around 8% against the US dollar in the first half of 2024, our dollar-denominated export revenues were worth significantly less when converted back into pounds," explained the firm's CEO. "We faced a choice: raise dollar prices and risk losing market share to Japanese and Korean competitors, or absorb the hit on our profit margins."

JCB has responded by expanding production in its US plant near Savannah, Georgia, and by increasing manufacturing capacity in India. This strategy — known as 'natural hedging' — means costs and revenues are generated in the same currency, reducing exposure to exchange-rate movements. However, expanding overseas production raises questions about the long-term commitment to UK manufacturing jobs.

(Source: adapted from JCB feels sterling pinch © ft.com 2024)

Extract C

Freeport promises transformation for Teesside

Teesside Freeport, launched in 2021, is the UK's largest freeport and covers 4,500 acres across the Tees Valley. Businesses operating within the designated tax sites benefit from full relief from business rates for five years, zero employer National Insurance contributions on new employees earning up to £25,000, and enhanced capital allowances.

Local government claims the freeport will attract £1.4 billion of private-sector investment and create around 18,000 new jobs by 2030. Major investments announced include a £1 billion green hydrogen project and a new offshore-wind manufacturing facility.

Critics argue that freeports do not create new economic activity but simply relocate it from elsewhere in the UK, producing a zero-sum outcome nationally. They also warn that the tax relief represents a significant opportunity cost for the Treasury — estimated at £50 million annually — and risks being captured by firms that would have invested in the region anyway.

(Source: adapted from Teesside Freeport: promise and scepticism © bbc.co.uk 2024)

(a) Using the data from Extract A, calculate the UK balance on the current account of the balance of payments in 2023. You are advised to show your working. (4)

(c) Using data from Extract A, explain one reason why the UK current account may be in deficit. (4)

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(d) Analyse why JCB has increased manufacturing capacity in both the US and India. (6)

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(f) Assess the merits of JCB's strategy of 'natural hedging' by expanding overseas production. (10)

(g) Assess the likely impact of the Teesside Freeport tax incentives on the local economy. (Extract C)
(12)

(h) Assess the likely effectiveness of monetary policy in correcting a persistent UK current-account deficit. (12)

(Total for Question 1 = 60 marks)

TOTAL FOR SECTION A = 60 MARKS

SECTION B

Read the following extract (D) before answering Question 2.

Write your answer in the space provided.

Extract D

Human development and inequality indicators, 2023

Country	HDI (rank)	GINI coeff.	CO ₂ per capita (t)	Poverty (\$2.15/day, %)
Norway	0.966 (2)	0.28	6.7	0.2
United States	0.927 (20)	0.41	14.4	1.2
Bangladesh	0.670 (129)	0.32	0.5	13.5
Botswana	0.708 (117)	0.53	3.1	14.9
Saudi Arabia	0.875 (40)	0.45	17.9	n/a

(Source: adapted from UNDP HDR 2023 and World Bank indicators)

2 Using Extract D, evaluate the view that inequality matters more than income growth for a country's economic development. (20)

Handwriting practice lines consisting of 30 horizontal dashed lines.

(Total for Question 2 = 20 marks)
TOTAL FOR SECTION B = 20 MARKS

SECTION C

Read the following extracts (E and F) before answering Question 3.

Write your answer in the space provided.

Extract E

US-China trade tensions escalate

In 2024, the United States raised tariffs on a range of Chinese goods, including a 100% tariff on Chinese electric vehicles, 50% on Chinese solar cells, and 25% on lithium-ion batteries. The stated rationale was to protect strategic domestic industries and respond to Chinese state subsidies. China retaliated with tariffs on US agricultural products, affecting soybean, pork and dairy exports. 5

Multinational firms with global supply chains face complex choices. Apple, which assembles around 85% of iPhones in China, has accelerated the shift of production to India and Vietnam. Tesla, which operates a major Shanghai gigafactory, has delayed plans to increase exports from China to the US.

Economists warn that ongoing 'decoupling' between the world's two largest economies could reduce global efficiency, raise consumer prices, and slow the diffusion of new technologies. However, supporters argue that reducing dependence on a single supplier country strengthens economic security. 10

(Source: adapted from US-China tariffs widen © economist.com 2024)

Extract F

Apple's supply chain pivot

Apple Inc., the world's most valuable company by market capitalisation, has built one of the most complex global supply chains in history. At its peak in 2019, around 98% of iPhones were assembled in China through contract manufacturers such as Foxconn. The firm benefited from Chinese economies of scale, skilled labour, and integrated component suppliers. 5

Following the US-China trade war that began in 2018 and disruptions during the COVID-19 pandemic, Apple has accelerated diversification. By 2024, roughly 14% of iPhones were assembled in India, with plans to raise this to 25% by 2027. Foxconn has committed \$1.5 billion to new Indian facilities and Apple has opened its first branded retail stores in Mumbai and Delhi. 10

Despite the shift, India's share of Apple's high-end iPhone production remains limited, as component ecosystems and logistics networks are less developed than in China. Apple's senior executives have acknowledged that fully relocating iPhone production outside China is "not realistic" in the medium term.

(Source: adapted from Apple's India pivot © bloomberg.com 2024)

3 Evaluate the likely impact of rising protectionism on the operations of multinational firms such as *Apple*. (20)

Handwriting practice lines consisting of 30 horizontal dashed lines.

(Total for Question 3 = 20 marks)
TOTAL FOR SECTION C = 20 MARKS
TOTAL FOR PAPER = 100 MARKS